



“With the shift in consumer viewing preferences, aggregation of OTT services is a natural transition for these operators to retain and expand subscriber ARPU”

MIHIR SHAH
VICE PRESIDENT, MEDIA
PARTNERS ASIA

there vis-à-vis our competition.” Industry estimates suggest that the platform is closing about half a million subscribers this year.

Pherwani says the next stage of evolution will be the bundling of OTT platforms. “Like multi-system operators (MSO) bundle different broadcasters into packages for consumers, these players (OTT aggregators) are doing the same thing from an OTT perspective and offering them at a much affordable price,” he says. “Telcos have an advantage here because they have a far bigger reach. Even platforms may start bundling with other platforms. What matters is that

the final value proposition must be very attractive for the customer.”

EXPERTS BELIEVE THAT Jio will have an advantage as the country’s largest telecom player. Even Tata Play as the largest DTH player is well placed to make a mark in the aggregation space, they add. “DTH and OTT are two different products and target segments. OTT goes far deeper. It’s about giving me what I want, where I want,” says Pherwani. “It’s a long-term game for the players in terms of RoI, but there would be break-evens of two to five years depending on the revenue model.”

Nagpal says it took them and the content platforms some doing to get the revenue model right. “It’s kind of half settled now. And we’ll get even more perfect as the numbers grow. But it’s not very different from the kind of model we have with the broadcasters for TV content,” he says. “Every new technology is taking shorter to get adopted as it progresses. But that doesn’t mean that the old is gone or written off. And new technologies will keep coming.”

The challenge of cord-cutting is also helping the aggregation space. “We’ve seen that it has worked for us. Every person who is cutting cords can very quickly marry OTTplay with their systems,” says Mudaliar. “I also see companies making an effort to retain their customers, but people want to move away from their existing DTH connections and consume OTT content, and that’s where platforms like us make sense.”

Per the Ficci-EY report, revenues from the digital segment would be ₹1.5 lakh crore by 2025, or around twice the TV

segment. The linear TV universe will remain comparatively stable at 166 to 169 million households. And the pay TV universe will continue to shrink, albeit at a slower pace, to 116 to 119 million active households by 2025, as the impact of new, paying subscribers is expected to be lesser than the conversion of households from linear TV to connected TV. The report adds that connected TVs will exceed 40 million daily active users by 2025, thereby ending the monopoly of broadcasters on the large screen. This will lead to around 30 per cent of the content consumed on large screens to be from social, gaming, and digital channels, among others. Further, this creates a major growth opportunity for players like Tata Play and OTTplay. “Right now, there’s a blank canvas as far as OTT [aggregation] is concerned. There are about 120 million people who are not on our base,” says Nagpal.

While Bingé is expected to bolster Tata Play’s slowing revenues, there’s still a long way to go before it becomes a strong cash-flow generator for the company, which is hoping that the gamble pays off. What gives Nagpal hope is the successful run in the DTH business. “We didn’t have any exclusivity [in terms of content] in TV, yet we’ve been the largest for a long time. The only differentiation was the customer experience. We failed less. We recovered fast. And we made content discovery easier. These are the principles we’re taking to the OTT industry as well,” he says. “We don’t know how to make content but we know how to aggregate it.”

Now, whether life turns out to be “*jinga la la*” for Tata Play, only time will tell. **BT**

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